Practice workbook · Globalisation: what it means and what drives it

What globalisation means (growing integration and interdependence of national economies) and why it has increased: fewer tariffs and quotas, cheaper transport, cheaper communication and the growing importance of MNCs.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-01

1. Question 2 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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1. Question 2 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

In December 2019 the unemployment rate in Venezuela was approximately 44%. This was much higher than the previous December's figure of 35%.

(e) Explain **one** impact of increasing unemployment rates on business confidence in a country such as Venezuela.

(3)

By volume, 90% of world trade of goods are transported by sea in containers. There are 5,000 container ships in the world and the largest carries more than 20,000 containers. It now costs only $0.05 to ship a t-shirt across the world from low-cost countries such as Vietnam.

(f) Explain **one** reason why the reduced cost of transport has helped to increase globalisation.

(3)

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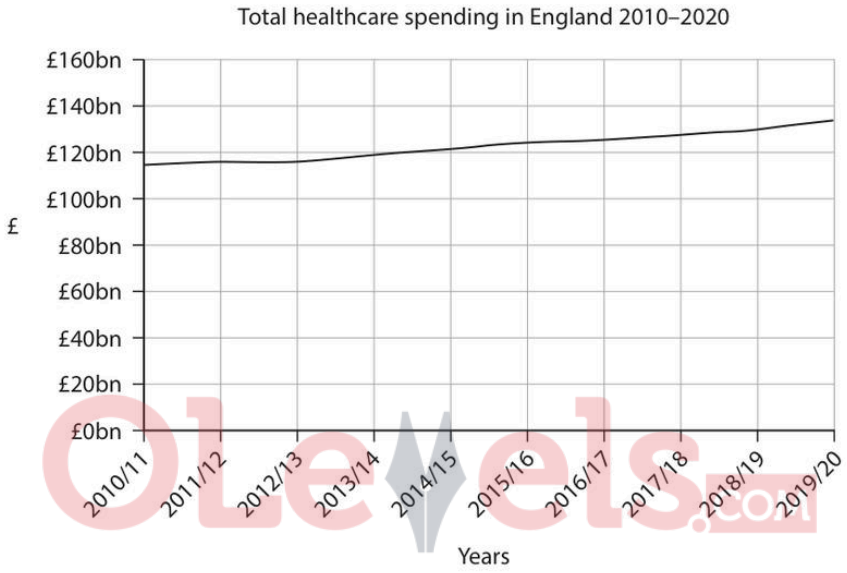
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1. Question 2 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

Total healthcare spending in England was £129bn in 2018–2019 and was expected to rise to nearly £134bn by 2019–2020. Access to healthcare is free in England.



(Source adapted from: https://fullfact.org/health/spending-english-nhs/)

Figure 2

(g) With reference to the data above and your knowledge of economics, assess the use of investment in healthcare to reduce the level of inequality and poverty in a country such as England.

(9)

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1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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2. Question 1 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.

(f) Using the diagram below draw and label the three stages of the economic cycle in the boxes on the diagram.

(3)

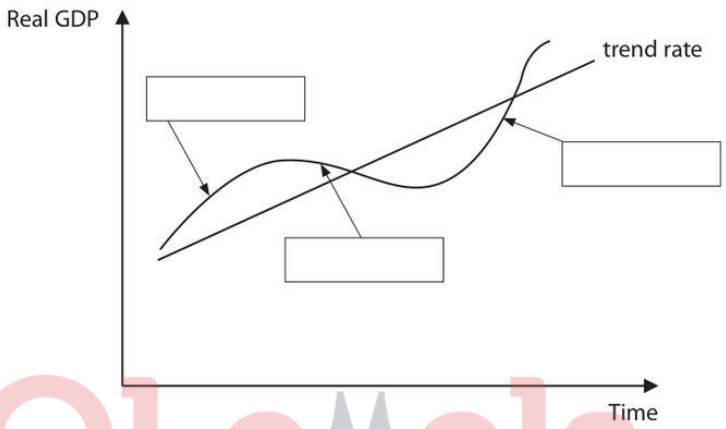


Figure 1

According to the US Labour Department, employees working in the public education sector are leaving their jobs at faster rates than ever recorded before.

(g) Explain **one** reason why some people in the education sector might choose to become voluntarily unemployed?

(3)

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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.

The World Trade Organisation (WTO) has estimated that improvements in ship containerisation have lowered sea transportation costs by over 70%. Air-freight costs have fallen by a similar amount.

(h) Analyse how the reduced cost of transport has contributed to the increase in globalisation.

(6)

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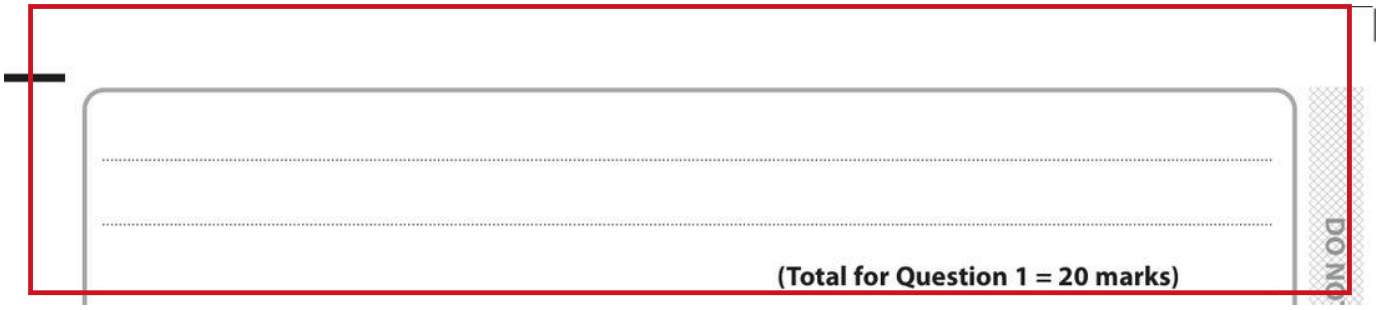
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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.



Working and answer

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4. Question 2 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

(d) What is meant by the term free trade?

(2)

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4. Question 2 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

In the first quarter of 2019 the unemployment rate in Argentina increased by 1% to 10.1%. This was the highest level in 13 years.

(e) Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina.

(3)

Approximately 12% of goods traded globally are via international e-commerce. Tens of millions of small and mid-size firms worldwide have become exporters by joining e-commerce marketplaces such as Alibaba and Amazon.

(f) Explain **one** reason why the reduced cost of communication has helped to increase globalisation.

(3)

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4. Question 2 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

In 2019, Germany was considering increasing the tax on meat to protect the environment and improve animal welfare. Currently meat in Germany has a reduced tax rate of 7%. Some political groups are arguing that this should increase to the standard 19%. According to United Nations research, methane from animals accounts for 14.5% of greenhouse gas emissions – more than the direct emissions from transport.

(Source adapted from: https://www.independent.co.uk/environment/german-meat-tax-environment-animal-welfare-a9045271.html)

(g) With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany.

(9)

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4. Question 2 · part f · 3 marks · Working and answer

Working and answer

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5. Question 2 · part a · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

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(d) What is meant by the term recovery?

(2)

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5. Question 2 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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6. Question 1 · part d · 2 marks · Working and answer

Working and answer

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7. Question 2 · part b · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part b only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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7. Question 2 · part b · 1 mark · Working and answer

Working and answer

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8. Question 1 · part d · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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8. Question 1 · part d · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

8. Question 1 · part d · 2 marks · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

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3 (a) In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online?

(1)

- ☒ **A** The cost of updates to the website due to higher prices for mobile phones
- ☒ **B** The cost of raw materials for producing a mobile phone
- ☒ **C** The cost of shipping and handling fees for online orders
- ☒ **D** The cost to consumers of looking for the lowest price of mobile phones

In 2023, the total value of UK exports to Spain was £19.9bn and the total value of imports from Spain into the UK was £44.2bn.

(b) Calculate the trade balance between the UK and Spain in 2023.

(1)

- ☒ **A** A trade surplus of £24.3bn
- ☒ **B** A trade surplus of £64.1bn
- ☒ **C** A trade deficit of £24.3bn
- ☒ **D** A trade deficit of £64.1.bn

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10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

In 2024, a new childcare subsidy was offered to working parents in Northern Ireland.

(c) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

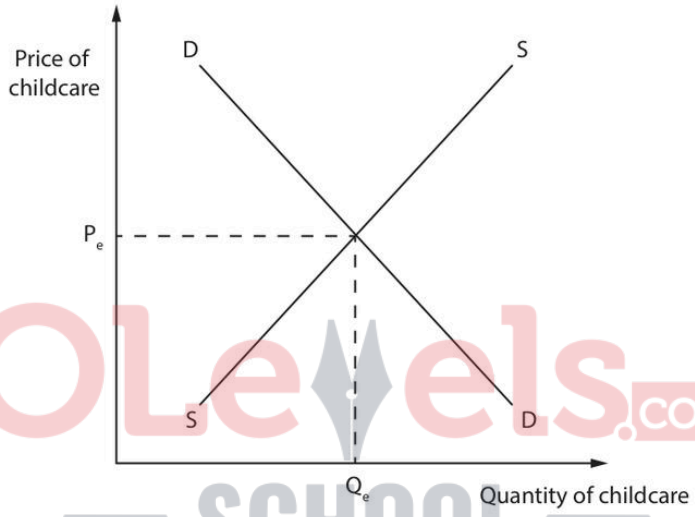


Figure 3

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10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

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Globalisation has transformed the world. Centuries ago, it brought exotic spices and goods from distant parts of the globe. More recently, it has allowed people to work, communicate and travel more easily. Fewer tariffs and quotas are one of the reasons for an increase in globalisation.

(d) With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation.

(6)

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10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.



10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

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Levi Strauss & Co, a multinational corporation (MNC), has committed to achieving net-zero greenhouse gas emissions by 2050. As part of this goal, the company has introduced innovative water-saving manufacturing processes. One such initiative has saved nearly 13 billion litres of water over nine years.

In 2011, Levi Strauss & Co created a worker wellbeing programme. This provides health education, family welfare programmes and financial empowerment for its clothing workers in its 118 factories across 16 countries.

(e) With reference to the data above and your knowledge of economics, assess the advantages of multinational corporations (MNCs) for the countries in which they operate.

(9)

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10. Question 3 · part d · 6 marks · Working and answer

Working and answer

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